

Privacy-Preserving UPI Payment Tier Eligibility using Zero-Knowledge Proofs: A Multi-Predicate ZKProof-eKYC Framework for India's Payment Infrastructure

Tanishq Sahu[✉]
Department of Computer Science
BITS Pilani, KK Birla Goa Campus
Pune, India
sahutanishq06@gmail.com
(Corresponding author)

Dr. Puneet Bakshi
Scientist F
Centre for Development of Advanced
Computing (C-DAC)
Pune, India
puneetb@cdac.in

Pranali Nikam
Project Engineer
Centre for Development of Advanced
Computing (C-DAC)
Pune, India
pranalin@cdac.in

Abstract—India's Unified Payments Interface (UPI) gates transaction limits behind Know Your Customer (KYC) compliance tiers mandated by the Reserve Bank of India (RBI) and National Payments Corporation of India (NPCI). Unlocking the Full KYC tier currently requires users to surrender sensitive identity documents (Aadhaar, PAN, income proofs) to Payment Service Providers (PSPs). This centralized storage creates severe breach vulnerabilities and systemically violates the data minimization principle of India's Digital Personal Data Protection (DPDP) Act 2023, Section 8(3).

We present ZKProof-eKYC, the first Zero-Knowledge Proof (ZKP) framework designed specifically for *payment system tier access control*. By reframing KYC eligibility as a cryptographic access token, a user's device generates a 1.5 KB non-interactive Groth16 zk-SNARK proof asserting tier eligibility. The PSP receives only a boolean result, eliminating personal data transmission and achieving DPDP Act compliance mathematically.

The primary contribution is a multi-predicate Circom 2.0 circuit ($\approx 25,000$ R1CS constraints) simultaneously enforcing eleven regulatory predicates (ϕ_{age} to ϕ_{tier}) mapped across six Indian statutes. The architecture introduces five key elements: (i) an 8-leaf depth-3 Poseidon Merkle credential tree; (ii) a dual-document commitment scheme protecting the raw PAN (single-hash) and Aadhaar (double-hash) identifiers; (iii) an EdDSA-Poseidon issuer signature; (iv) a depth-20 Sparse Merkle Tree (SMT) for real-time revocation; and (v) Poseidon nonce-binding against replay attacks.

A novel branch-free finite-field formula calculates NPCI's tier limits natively: $tier = 2 \cdot \mathbb{K}[\text{FullKYC}] + (1 - \mathbb{K}[\text{FullKYC}]) \cdot \mathbb{K}[\text{MinKYC}]$. We deploy a dual-circuit framework: `UPIKYCTierProof` for Full KYC and `MinKYCTierProof` for Min KYC. Functional correctness is validated against 12 adversarial test vectors. Performance profiling projects mobile WASM generation at <400 ms, with off-chain execution measured at ≈ 96 ms and on-chain verification at $\approx 242,000$ gas. ZKProof-eKYC establishes the first "one credential, multiple products" ZKP architecture for national payment infrastructure.

Index Terms—Zero-Knowledge Proofs, eKYC, UPI, Groth16, zk-SNARK, Circom, Poseidon, Sparse Merkle Tree, Privacy-Preserving Identity, DPDP Act

I. INTRODUCTION

A. India's UPI Ecosystem and the KYC Access Problem

India's Unified Payments Interface (UPI) processes over 14 billion monthly transactions across more than 300 million active users [1]. Access to this globally unprecedented network is governed by a three-tier KYC compliance system mandated by the National Payments Corporation of India (NPCI) and the

Reserve Bank of India (RBI) [2]. The tiers are summarised in Table I.

TABLE I
UPI WALLET KYC TIERS AND TRANSACTION LIMITS (NPCI)

KYC Level	Per Txn	Monthly	P2P	Cash
No KYC	Rs. 0	Rs. 0	No	No
Min KYC	Rs. 10,000	Rs. 1,00,000	No	No
Full KYC	Rs. 1,00,000	Unlimited	Yes	Limited
Merchant	Rs. 5,00,000	Unlimited	—	—
Cap. Mkt	Rs. 5,00,000	Unlimited	—	—

Unlocking the Full KYC tier is the effective gateway to India's digital financial ecosystem, permitting peer-to-peer transfers, high-value transactions, and large UPI AutoPay mandates.

B. The Privacy Catastrophe of Current KYC

To achieve Full KYC, users currently surrender highly sensitive identity documents - including Aadhaar numbers, Permanent Account Number (PAN) cards, and income proofs - to Payment Service Providers (PSPs) for centralised storage. This architecture suffers from three structural failures:

- **Breach Risk:** Centralised repositories are high-value targets, exemplified by the 2021 MobiKwik breach of 3.5 million users [3]. This exposes PSPs to massive liabilities under the IT Act 2000, Section 43A [4].
- **Data Minimisation Violation:** KYC verification only requires a boolean answer ("Does this user qualify?"). Collecting entire dossiers structurally violates the data minimisation mandate of the DPDP Act 2023, Section 8(3) [5].
- **Lack of User Sovereignty:** Users cannot retract submitted data, which is retained indefinitely under PMLA Rules [6], often violating the strict sharing limitations of the Aadhaar Act 2016 [7].

C. The ZKP Literature Gap

While Zero-Knowledge Proofs (ZKPs) [8] are ideally suited for boolean eligibility claims, existing ZKP eKYC literature [9]–[12] remains confined to generic identity authentication. Even the most technically similar selective disclo-

sure systems evaluate at most three basic attributes [9]. A critical gap exists: no prior work has extended ZKPs to *payment system tier access control*, nor mapped constraints to a complex national regulatory stack involving transaction limits, Politically Exposed Person (PEP) checks, and document redaction.

D. ZKProof-eKYC: Conceptual Reframing

ZKProof-eKYC reframes KYC tier eligibility: *it is not data to be disclosed, but a property to be proved.*

Instead of transmitting documents, the user's device generates a succinct 1.5 KB Groth16 zk-SNARK asserting Full KYC eligibility. The PSP verifies this proof in ≈ 96 ms, receiving only a boolean result. This architectural shift enforces compliance with the DPDP Act, IT Act, PMLA, and Aadhaar Act via cryptography rather than policy, as no personal data is ever transmitted, processed, or stored at the PSP layer.

E. Contributions

This paper presents the first ZKP framework for payment access control, making the following verifiable contributions:

- 1) **Multi-Predicate Circuit:** The first Groth16 circuit encoding eleven simultaneous regulatory predicates (ϕ_{age} through ϕ_{tier}) for Full KYC eligibility.
- 2) **Regulatory Mapping:** A formal mapping of circuit predicates to six Indian statutes (RBI Master Directions, NPCI Circulars, PMLA, Aadhaar Act, DPDP Act, and IT Act).
- 3) **Dual-Document Commitment:** An original PAN and Aadhaar nested hash commitment that satisfies RBI and Aadhaar Act regulations without raw identifiers ever entering the circuit.
- 4) **Branch-Free Tier Arithmetic:** A finite-field mathematical formula encoding NPCI's three-tier limits entirely within the BN128 scalar field, avoiding R1CS conditional branching limitations.
- 5) **Integrated SMT Revocation:** Real-time credential revocation via a depth-20 Sparse Merkle Tree (SMT) non-membership proof.
- 6) **Two-Layer Nullifier:** A cryptographically binding yet unlinkable revocation identifier ensuring cross-session privacy.
- 7) **Dual-Circuit Framework:** A primary 25,000-constraint circuit for Full KYC, and a highly optimised 7,000-constraint MinKYCTierProof circuit for low-end devices.
- 8) **Cross-Product Architecture:** Extension circuits demonstrating how a single Merkle credential can authorise NACH mandates, FASTag limits, and RuPay Credit without additional document disclosure.

F. Paper Organisation

Section II reviews literature gaps. Section III formalises the trust model and credential Merkle tree. Section IV details the system architecture. Section V specifies the mathematical

circuit predicates. Section VI covers the Circom 2.0 implementation. Security and performance are analysed in Sections VII and VIII. Section IX delivers the formal compliance matrix, followed by extensions in Section X and concluding remarks in Section XI.

II. RELATED WORK

The application of Zero-Knowledge Proofs to identity verification has accelerated rapidly, driven by the inherent conflict between stringent Know Your Customer (KYC) regulations and emerging data privacy frameworks. However, a critical review of the literature reveals that existing work is confined entirely to generic identity authentication, leaving the domain of payment system access control completely unaddressed.

A. Zero-Knowledge eKYC and Selective Disclosure

The baseline for ZKP-based selective disclosure in eKYC is established by Ahmed et al. [9], who implement a Poseidon Merkle tree evaluated inside a Groth16 zk-SNARK. Their system allows a prover to demonstrate membership of three generic attributes (date of birth, name, and university) without revealing the attributes themselves. While architecturally sound, achieving 312 ms proof generation times, their circuit is limited to single-tier, stateless identity claims. It lacks an on-chain revocation mechanism, does not map to any statutory financial framework, and evaluates a maximum of three simple predicates.

Similarly, Srinivas et al. [12] propose ZKPass, an authentication system utilising Circom and Groth16. However, ZKPass operates primarily on a single Unique Identifier (UID) rather than a multi-attribute credential tree, restricting its utility in financial sectors where regulatory compliance demands simultaneous verification of age, income, and specific document types. Kumar et al. [11] expand the technical tooling by leveraging the Ethereum Attestation Service (EAS) and the SP1 zkVM for zero-knowledge identity verification. While their use of general-purpose zkVMs offers structural flexibility, their general-purpose zkVM-based approach does not explicitly target the sub-second mobile on-device proving loops necessary for real-time retail merchant transaction flows.

B. Blockchain Identity and Reputation Systems

A parallel vector of research explores blockchain-based identity without ZKPs. Systematic literature surveys, such as the one compiled by Hannan et al. [13], confirm that the vast majority of distributed ledger eKYC systems still transmit or store plaintext identity data at the verifier's boundary node. Even within decentralized frameworks such as Schlatt et al. [14], processing identities structurally relies on downstream decryption loops that fail the absolute data minimisation mandate of Section 8(3) of India's Digital Personal Data Protection (DPDP) Act 2023 [5]. Fugkeaw [15] proposes an e-KYC system using Ciphertext-Policy Attribute-Based Encryption (CP-ABE) on a blockchain, which reduces attack surfaces but fundamentally requires the verifier to handle full cryptographic decryption keys.

Kalbantner et al. [10] bridge this by proposing a ZKP-enabled KYC framework using Soulbound Tokens (SBTs) for peer-to-peer (P2P) marketplaces. While their inclusion of reputation metrics is novel, the system is designed for discrete marketplace interactions rather than high-frequency payment networks. Furthermore, it operates on a binary access model rather than a tiered transaction limit infrastructure.

C. The Indian Context and the Payment Tier Gap

Within the Indian regulatory context, Vijayakumaran [16] demonstrates privacy-preserving Aadhaar-based age proofs. However, this is a single-predicate construction focused strictly on proving age ≥ 18 . A complete Full KYC verification for UPI requires satisfying RBI Master Directions Para 13 and Para 27 simultaneously - which mandates verifying age, income class, residence status, PAN linkage, and Aadhaar linkage, whilst also screening for Politically Exposed Persons (PEPs) [6], [17].

Comprehensive surveys of ZKP frameworks by Lavin [18] and Sheybani [19] confirm this literature gap: no published ZKP system has successfully modelled payment tier access control. Current systems answer the question, “Is this identity authentic?” None answer the multi-dimensional regulatory question, “What is the maximum statutory transaction limit for this identity?”

D. Comparative Gap Analysis

Table II provides a definitive capability comparison between ZKProof-eKYC and the state-of-the-art. ZKProof-eKYC represents the first framework in the literature to scale circuit complexity to eleven simultaneous statutory predicates and implement a branch-free tier arithmetic formula to dynamically route payment limits in zero-knowledge.

Crucially, because prior generic identity systems do not operate within India’s unique financial-privacy regulatory matrix, ZKProof-eKYC introduces an original dual-document double-hash commitment scheme. This architectural novelty satisfies the conflicting constraints of mandatory PAN-Aadhaar verification under the RBI Master Directions and absolute text isolation required under Section 29 of the Aadhaar Act. Furthermore, it integrates a depth-20 Sparse Merkle Tree (SMT) for real-time non-membership proofs, effectively solving the continuous monitoring mandate of RBI without requiring credential re-issuance.

III. PROBLEM STATEMENT AND TRUST MODEL

A. Formal Problem Statement

Let U be a UPI user possessing a private KYC credential comprising eight distinct identity attributes. We define the user’s private witness vector w as:

$$w = \{w_{\text{dob}}, w_{\text{inc}}, w_{\text{doc}}, w_{\text{pan}}, w_{\text{aadhaar}}, w_{\text{res}}, w_{\text{iss}}, w_{\text{id}}\}$$

Under the DPDP Act 2023, the raw elements of w must never be transmitted in plaintext to the verifier.

Let $T : w \rightarrow \{0, 1, 2\}$ be the KYC tier classification function defined by NPCI regulations, mapping to No KYC (0),

Minimum KYC (1), and Full KYC (2). Let $\mathcal{T}^*$ be the required threshold tier for a given payment request (e.g., $\mathcal{T}^* = 2$ for a Rs. 1,00,000 P2P transfer).

Problem: Construct a Zero-Knowledge Proof system (P, V) leveraging Groth16 over the alt_bn128 curve, such that a prover P can generate a succinct, non-interactive proof π satisfying:

$$\pi \leftarrow \text{Prove}(\text{pk}, x, w) \quad (1)$$

$$b \leftarrow \text{Verify}(\text{vk}, x, \pi) \in \{\text{accept}, \text{reject}\} \quad (2)$$

The public input vector x exposes only cryptographic state and payment parameters:

$$x = \{\text{issuerPubKey}, \text{merkleRoot}, \text{revRoot}, \text{nonce}, \text{boundHash}, \text{currYear}, \text{txAmount}, \text{tierLimit}\}$$

The system must mathematically guarantee:

- 1) **Completeness:** If $T(w) \geq \mathcal{T}^*$ and the credential is unrevoked, an honest P running the WASM circuit locally can always generate a valid π that V accepts with probability 1.
- 2) **Soundness:** If $T(w) < \mathcal{T}^*$, no computationally bounded adversarial prover $\mathcal{A}$ can generate an accepting π except with negligible probability $\text{negl}(\lambda)$.
- 3) **Zero-Knowledge:** The verifier’s view is computationally indistinguishable from a simulator $\mathcal{S}$ possessing no knowledge of w :

$$\text{View}_V(P(w) \leftrightarrow V)(x) \stackrel{c}{\approx} \mathcal{S}(x)$$

B. Cryptographic Trust Model & Deployment Infrastructure

The traditional prover-verifier dichotomy is insufficient for a production-grade Indian financial deployment. To achieve DPDP Act compliance without degrading the UPI user experience (UX), we separate our analysis into a core cryptographic trust model and an extended deployment infrastructure.

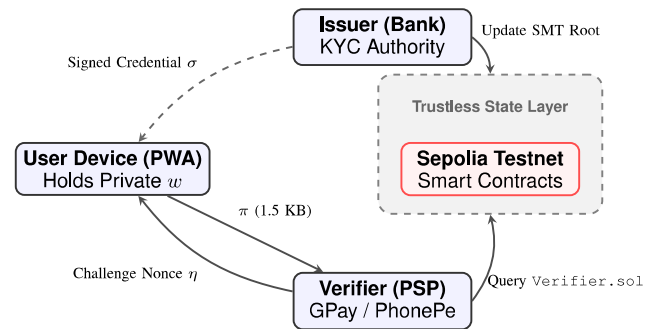


Fig. 1. Cryptographic Trust Boundaries in ZKProof-eKYC.

1) Cryptographic Trust Model:

- **Regulated Issuer (I):** An RBI-licensed entity that performs physical or V-CIP KYC, builds the Merkle tree, and signs the root via EdDSA on the Baby Jubjub curve. *Trust assumption: Honest in credential issuance and SMT revocation reporting.*

TABLE II
DEFINITIVE GAP ANALYSIS: ZKPROOF-eKYC VS. STATE-OF-THE-ART ZKP IDENTITY SYSTEMS

System Feature / Capability	Osaka eKYC [9]	ZKPass [12]	EAS-ZK [11]	ZKP P2P [10]	ZKProof-eKYC (Ours)
Application Domain	Identity Auth	Identity Auth	General SSI	P2P Markets	Payment Tier Access
Simultaneous Predicates	3	1	1 (Age)	2	11 (Multi-Regulatory)
Payment Tier Arithmetic	No	No	No	No	Yes (3-Tier Support)
Statutory Mapping	None	None	None	GDPR (Partial)	RBI, NPCI, DPDP, PMLA
National ID Commitment	Single Hash	No	No	No	Dual-Hash (PAN/Aadhaar)
Revocation Mechanism	Expiration Only	None	On-chain EAS	SBT Burn	Depth-20 SMT (Real-Time)
PEP Exclusion Logic	No	No	No	No	Yes (Hard Constraint)
Cross-Session Unlinkability	Yes (Salts)	No (Static UID)	Yes	No (SBTs link)	Yes (Salts + 2-Layer Nullifier)
Anti-Replay / Nonce Bound	Yes	Yes	Yes	Yes	Yes (Poseidon Hash)
Circuit Architecture	Circom 2.0	Circom	SP1 zkVM	Unspecified	Circom 2.0 (Dual-Circuit)

Kalbantner et al. [10] explicitly adopt a technology-agnostic engineering model; baseline metrics for backend circuit architectures are not specified.

- **Prover Application ($\mathcal{P}$):** A Progressive Web App (PWA) securing w in IndexedDB via WebAuthn biometric encryption (AES-256-GCM). It executes the WASM-compiled Circom prover. *Trust assumption: Relies strictly on cryptography. Limitation: If the device is compromised at the OS level, WebAuthn does not protect the credential post-decryption; this is a known hardware-level limitation.*
- **Verifier / PSP ($\mathcal{V}$):** The payment aggregator. Provides the challenge nonce η via QR code. *Trust assumption: Fully untrusted with personal data.*

2) *Deployment Infrastructure:* To facilitate gasless UX, the cryptographic model is wrapped in an ERC-4337 infrastructure:

- **Ethereum Blockchain (Sepolia):** The immutable state layer hosting `Verifier.sol` and the `depth-20 SMTRegistry.sol`.
- **ERC-4337 Layer:** A locally deployed Bundler (for test-net validation, targeting a remote hosted bundler for production) and a `KYCPaymaster.sol` smart contract that sponsor gas fees, abstracting blockchain mechanics from the user.

C. Credential Merkle Tree and Double-Commitments

To enable granular selective disclosure, the credential is mathematically structured as a depth-3 Poseidon Merkle tree containing 8 leaves. Table III maps each leaf to its specific statutory mandate.

TABLE III
CREDENTIAL MERKLE TREE STRUCTURE & REGULATORY MAPPING

Idx	Attribute Hash Formulation	Statutory Basis
L_0	$\text{Poseidon}(\text{birthYear}, s_0)$	RBI Para 13(a)
L_1	$\text{Poseidon}(\text{incClass}, s_1)$	RBI Para 27
L_2	$\text{Poseidon}(\text{docType}, s_2)$	RBI Para 3(xlvii)
L_3	$\text{Poseidon}(C_{\text{pan}}, s_3)$	RBI Para 13(c)
L_4	$\text{Poseidon}(C_{\text{aadhaar}}, s_4)$	Aadhaar Act S.29
L_5	$\text{Poseidon}(\text{resStatus}, s_5)$	RBI Para 27
L_6	$\text{Poseidon}(\text{issYear}, s_6)$	RBI Para 38
L_7	$\text{Poseidon}(\text{credID}, \text{isPEP}, s_7)$	PMLA Rule 9B

The Dual-Document Double-Commitment: A critical compliance challenge arises from Aadhaar Act Section 29 (prohibiting raw identifier sharing) and RBI Para 13(c) (mandating PAN linkage). If raw document strings enter the Circom circuit, they risk exposure via memory side-channels or malicious circuit forks.

To solve this, ZKProof-eKYC implements a nested double-commitment scheme (visualized in Fig. 2):

$$C_{\text{pan}} = \text{Poseidon}(\text{PAN}, s_p) \quad (3)$$

$$C_{\text{aadhaar}} = \text{Poseidon}(\text{SHA256}(\text{Aadhaar}), s_a) \quad (4)$$

The user's local PWA computes these inner commitments *before* they are passed to the WASM prover. The circuit only

verifies the inclusion of C_{pan} and C_{aadhaar} via paths to L_3 and L_4 . Consequently, the 10-character PAN and 12-digit Aadhaar never exist within the R1CS constraint system.

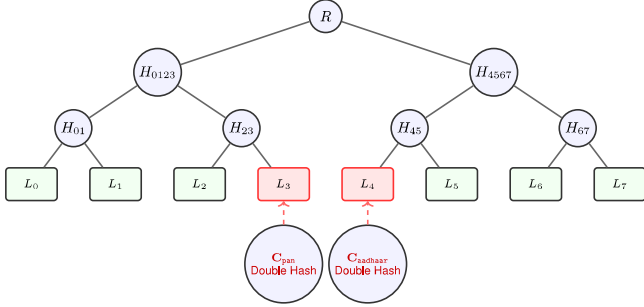


Fig. 2. Depth-3 Poseidon Merkle Tree. Leaves L_3 and L_4 encapsulate the off-circuit dual-document double-commitments, ensuring raw identifiers never enter the ZKP circuit.

IV. SYSTEM ARCHITECTURE

The ZKProof-eKYC architecture transcends traditional zero-knowledge theoretical models by integrating a fully functional client-side proving engine with Ethereum Account Abstraction (ERC-4337) and biometric hardware security. The system operates across three distinct trust domains: the Regulated Issuance Layer (Off-Chain), the Client Proving Layer (On-Device), and the Verification & State Layer (On-Chain/PSP).

A. Phase 1: Secure Credential Issuance & Storage

The lifecycle begins entirely off-chain. An RBI-regulated entity (the Issuer) verifies the user's physical or digital documents (e.g., Aadhaar XML, PAN). A Node.js backend constructs the 8-leaf Poseidon Merkle tree and generates the EdDSA-Poseidon signature σ over the Baby Jubjub curve.

To ensure the credential w remains secure on the user's device, the Progressive Web App (PWA) employs the navigator.credentials WebAuthn API. During credential provisioning, an AES-256-GCM encryption key is derived directly from the device's secure enclave (Fingerprint or FaceID). The credential is symmetrically encrypted and committed to the browser's IndexedDB. This architecture guarantees that even in the event of device compromise, the cryptographic credential cannot be stolen or utilized without the user's live biometric authorization.

B. Phase 2: Mobile-First WASM Proving

When a user attempts a Full KYC transaction (e.g., a transfer exceeding Rs. 10,000), the PSP dynamically generates a UPI deep-link containing a cryptographically secure 256-bit challenge nonce η . The sequence unfolds entirely on-device:

- 1) The PWA captures the deep-link and requests biometric authentication to decrypt the witness w from IndexedDB.
- 2) The client invokes the `snarkjs` browser build, utilizing a pre-compiled WebAssembly (WASM) implementation of the Circom circuit.

- 3) To ensure rapid execution even on low-end devices, the PWA implements a Workbox Service Worker to cache the 42 MB `circuit_final.zkey` proving key locally upon first installation. While this enables the heavy cryptographic computation to occur offline, generating a proof for real-time payments requires fetching a lightweight (≈ 640 -byte) SMT inclusion path from a PSP relay node via a standard HTTPS GET request immediately prior to execution to satisfy the live revocation check.
- 4) The WASM module evaluates the constraint system and generates the 1.5 KB Groth16 proof π in under 3 seconds on standard mobile hardware. The private attributes never touch a network socket.

C. Phase 3: Gasless Execution via ERC-4337 Account Abstraction

A critical barrier to blockchain adoption in Indian fintech is the necessity for users to hold native cryptocurrency for gas fees. ZKProof-eKYC resolves this by implementing ERC-4337 Account Abstraction.

Rather than submitting a standard Ethereum transaction, the PWA constructs a `UserOperation` encapsulating the proof π and routes it to a locally deployed bundler (using `eth-infinitism/bundler`) for testnet validation, with production deployment targeting a hosted bundler service. The bundler batches multiple operations and submits them to the global `EntryPoint.sol` contract.

Financial abstraction is handled by `KYCPaymaster.sol` - a contract pre-funded by the PSP or NPCI. The Paymaster validates the `UserOperation`; if the destination is strictly the `Verifier.sol` contract, it sponsors the transaction gas. The user experiences a frictionless, Web2-like interface while executing complex zero-knowledge verification on a Web3 substrate.

D. Phase 4: SMT Revocation & PMLA Audit Trail

Static credentials pose a severe security risk if an identity is compromised or downgraded post-issuance. ZKProof-eKYC implements dynamic, real-time revocation using a Sparse Merkle Tree (SMT).

The `SMTRegistry.sol` smart contract maintains the root of a depth-20 Poseidon SMT capable of tracking ≈ 1 million revocations. If a bank flags an account, they compute the user's specific nullifier $N_c = \text{Poseidon}(\text{credID}, \text{nullifierSecret})$ and execute `insertLeaf( $N_c$ )`, which recalculates and updates the on-chain root.

During step 2, the WASM prover queries the latest on-chain SMT root. The Circom circuit utilizes `smtverifier.circom` in exclusion mode. If N_c exists within the SMT, the circuit constraints become mathematically unsatisfiable, immediately halting proof generation.

Finally, upon successful verification, `Verifier.sol` emits a `KYCTierVerified` event log containing the timestamp, $H(\pi)$, and η . This provides a mathematically irrefutable, privacy-preserving audit trail, fully satisfying the continuous

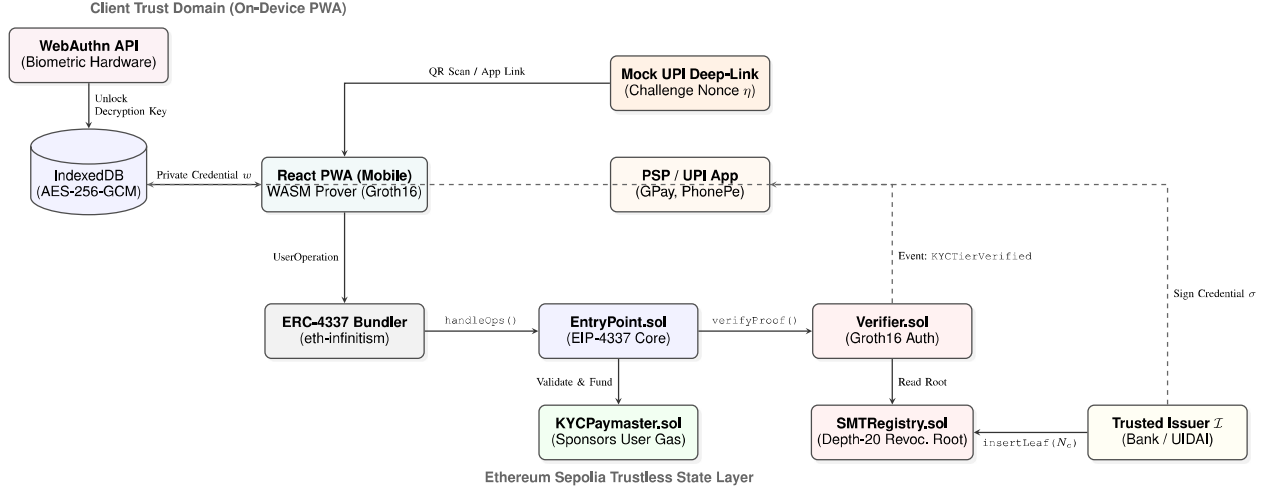


Fig. 3. Comprehensive ZKProof-eKYC Architecture. The system integrates WebAuthn biometrics, browser-based WebAssembly (WASM) provers, and ERC-4337 Account Abstraction to deliver a gasless, privacy-preserving UPI authorization flow.

monitoring and 10-year retention mandates of PMLA Rules 2005 (Rule 9).

V. FORMAL CIRCUIT PREDICATE SYSTEM

The ZKProof-eKYC circuit translates abstract legal regulations into a strictly defined system of polynomial equations over the BN128 scalar field $\mathbb{F}_p$. To successfully generate a proof π , the prover's private witness vector w must satisfy all eleven predicates simultaneously. A failure in any single predicate results in an unsatisfiable Rank-1 Constraint System (R1CS), rendering proof generation mathematically impossible.

A. Predicate Definitions & R1CS Translation

1) ϕ_{age} — *Age Eligibility (RBI KYC Para 13a)*: The circuit computes the user's age and enforces statutory majority (≥ 18). To prevent finite-field underflow attacks - where a malicious prover inputs a massive field element close to p as `birthYear` to artificially inflate the computed age - we enforce a hard lower bound:

$$age = currentYear - birthYear \pmod{p} \quad (5)$$

$$\phi_{age} := (age \geq 18) \wedge (birthYear \geq 1900) \wedge (currentYear \geq 2024) \quad (6)$$

In Circom, these $\geq$ checks are implemented via bit-decomposition using the `GreaterEqThan` component, requiring ≈ 15 constraints.

2) ϕ_{income} — *Risk Categorization (RBI KYC Para 27)*: Income classification dictates the risk tier. For Full KYC (which excludes students/Class 4), the class must be 1, 2, or 3. Because R1CS cannot use conditional if/else branches on private signals, this is enforced as a root-finding polynomial constraint where the product must equal zero:

$$\phi_{income}^{full} := (inc - 1)(inc - 2)(inc - 3) \equiv 0 \pmod{p}$$

For Minimum KYC, the polynomial expands to include Class 4:

$$\phi_{income}^{min} := \prod_{i=1}^4 (inc - i) \equiv 0 \pmod{p}$$

3) ϕ_{doc} — *Officially Valid Document (RBI KYC Para 3(xlvii))*: The document type must map to one of the seven RBI-approved OVDs. This is enforced as a bounded range check via `RangeProof(4)`:

$$\phi_{doc} := 1 \leq docType \leq 7$$

4) ϕ_{pan} & $\phi_{aadhaar}$ — *Dual-Document Merkle Inclusion*: To comply strictly with the Aadhaar Act Section 29, the raw 12-digit Aadhaar number and 10-character PAN string are hashed off-circuit. The circuit verifies their inclusion in the signed credential tree:

$$\phi_{pan} := \text{VerifyMerklePath}(L_3, \pi_{pan}, R) = 1 \quad (7)$$

$$\phi_{aadhaar} := \text{VerifyMerklePath}(L_4, \pi_{aa}, R) = 1 \quad (8)$$

where $L_3 = \text{Poseidon}(C_{pan}, s_3)$ and $L_4 = \text{Poseidon}(C_{aadhaar}, s_4)$. The `PoseidonMerkleVerifier` utilizes $\approx 1,500$ constraints for a depth-3 tree.

5) ϕ_{sig} — *Issuer Authentication (PMLA Rule 9A)*: To prove the credential was issued by a Regulated Entity (RE), the circuit verifies an EdDSA signature over the Merkle root R on the Baby Jubjub curve $E(\mathbb{F}_p)$:

$$\phi_{sig} := \text{EdDSA.Verify}(pk_I, R, \sigma_{R8,S}) = 1$$

The issuer's public key $pk_I = (A_x, A_y)$ is passed as a public input, allowing the smart contract to cross-reference it against an on-chain registry of authorized banks.

6) ϕ_{fresh} — *Credential Freshness (RBI KYC Para 38)*: Low-risk Full KYC accounts require updates every 10 years.

$$\phi_{fresh} := (currYear - issYear \leq 10) \wedge (issYear \geq 2020)$$

The 2020 lower bound explicitly invalidates legacy paper-based KYC conducted prior to the RBI's V-CIP rollout.

7) ϕ_{pep} — *PEP Exclusion (PMLA Rule 9B)*: Politically Exposed Persons (PEPs) mandate manual Enhanced Due Diligence (EDD) and are barred from automated ZKP limits. The circuit enforces a hard boolean constraint on the issuer-signed PEP flag, followed by the specific exclusion check:

$$\phi_{\text{binaryPEP}} := \text{isPEP} \cdot (\text{isPEP} - 1) = 0 \quad (9)$$

$$\phi_{\text{pep}} := \text{isPEP} = 0 \quad (10)$$

8) ϕ_{revoc} — *Real-Time Non-Revocation (Continuous Monitoring)*: To prove the credential is still valid, the prover computes their unlinkable nullifier $N_c = \text{Poseidon}(\text{credID}, \text{secret})$ and executes a Sparse Merkle Tree (SMT) non-membership proof against the on-chain revocRoot :

$$\phi_{\text{revoc}} := \text{SMT.VerifyExclusion}(R_{\text{revoc}}, N_c, \Pi_{\text{NM}}) = 1$$

This relies on circomlib's `smtverifier` with `fnc=1`, consuming the bulk of the circuit's computational budget ($\approx 15,000$ constraints).

9) ϕ_{nonce} — *Anti-Replay Binding (NPCI Standard)*: To cryptographically bind the proof to the PSP's specific session and prevent cross-PSP replay attacks:

$$\phi_{\text{nonce}} := \text{Poseidon}(\eta, R) \equiv H_{\text{bound}}$$

where the challenge nonce η and H_{bound} are provided as public inputs by the Verifier contract.

10) ϕ_{tier} — *Branch-Free Tier Classification*: The crown jewel of the circuit is the evaluation of the NPCI tier logic. R1CS prevents if/else logic on private witnesses. Therefore, the circuit computes boolean flags for Full KYC (F) and Minimum KYC (M) by computing the logical AND (multiplication) of their requisite predicates:

$$F = \phi_{\text{age}} \cdot \phi_{\text{inc}}^{\text{full}} \cdot \phi_{\text{pan}} \cdot \phi_{\text{aadhaar}} \cdot \phi_{\text{pep}} \quad (11)$$

$$M = \phi_{\text{age}} \cdot \phi_{\text{inc}}^{\text{min}} \cdot \phi_{\text{doc}} \quad (12)$$

The final numeric tier is computed using pure arithmetic:

$$\text{ComputedTier} = (2 \cdot F) + ((1 - F) \cdot M)$$

The circuit then enforces: $\text{ComputedTier} \geq \text{tierThreshold}$.

11) ϕ_{limit} — *Transaction Safety (NPCI Limits)*: All monetary amounts are strictly represented in paise (1 INR = 100 paise) to avoid floating-point arithmetic within the prime field. To ensure the requested transaction amount does not exceed the allowed threshold:

$$\phi_{\text{limit}} := (0 < \text{txAmount}) \wedge (\text{txAmount} \leq \text{tierLimit})$$

B. Architectural Predicate Flow

Figure 4 visualizes how these distinct mathematical constraints converge into the branch-free tier arithmetic logic without leaking state.

C. Predicate-to-Regulation Mapping

Table IV provides the definitive mapping from each implemented R1CS constraint to its exact statutory basis in Indian law. This table serves as the core compliance argument for deploying ZKPs in regulated financial environments.

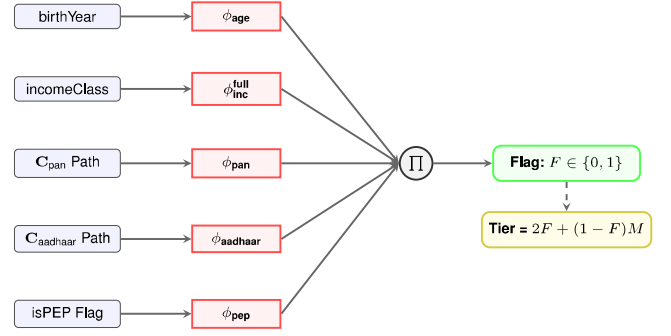


Fig. 4. Logic flow for the branch-free FullKYC (F) evaluation. All predicates must evaluate to 1 for the product (Π) to output 1, triggering the Tier 2 access mathematics.

TABLE IV
MASTER PREDICATE MAPPING: R1CS CONSTRAINTS TO INDIAN STATUTES

Constraint	Private Witness	Statutory / Legal Basis
ϕ_{age}	birthYear	RBI KYC Para 13(a) : Mandatory DOB verification; Legal majority (≥ 18).
ϕ_{income}	incomeClass	RBI KYC Para 27 : Risk classification based on income/occupation parameters.
ϕ_{doc}	docType	RBI KYC Para 3(xlvii) : Must match one of 7 Officially Valid Documents (OVDs).
ϕ_{pan}	$C_{\text{pan}}, \pi_{\text{pan}}$	RBI KYC Para 13(c) : PAN mandatory for Full KYC / $> \text{Rs.}50\text{k}$ limits.
ϕ_{aadhaar}	$C_{\text{aadhaar}}, \pi_{\text{aa}}$	Aadhaar Act Sec. 29 : Prohibits sharing raw Aadhaar; dictates double-hash use.
ϕ_{sig}	$\sigma = (R_s, S)$	PMLA Rule 9A : Identity must be cryptographically verified by an RBI Regulated Entity.
ϕ_{fresh}	issuanceYear	RBI KYC Para 38 : Maximum 10-year validity window for low-risk credentials.
ϕ_{pep}	isPEP	PMLA Rule 9B : PEPs mandate EDD and are excluded from simplified ZKP tiers.
ϕ_{revoc}	Π_{NM}, N_c	RBI Guidelines : Mandates continuous monitoring and real-time KYC status revocation.
ϕ_{nonce}	-	NPCI Architecture : Anti-replay requirement binding the proof to the PSP's session.
ϕ_{tier}	$\sum$ (All Above)	NPCI UPI Circular : Strict enforcement of the 10K / 1L tiered transaction access model.

VI. CIRCOM 2.0 IMPLEMENTATION

The core contribution of ZKProof-eKYC is implemented in Circom 2.0.4, leveraging the `circomlib` cryptographic library [20]. The system is architected as a modular, extensible toolkit rather than a monolithic script, enabling precise constraint optimization and multi-tier support.

A. Dual-Circuit Framework Architecture

To accommodate the vast hardware disparities across the 300 million-strong UPI user base, the system compiles two distinct production circuits.

1. UPIKYCTierProof(3, 20): The primary Full KYC circuit. It implements an 8-leaf (depth-3) credential Merkle tree and a depth-20 Sparse Merkle Tree for real-time revocation. At $\approx 25,000$ Rank-1 Constraint System (R1CS) constraints, it is designed for modern smartphones and web environments.

2. MinKYCTierProof(3): A heavily optimized circuit targeting the Rs.10,000 Minimum KYC tier. It omits the PAN, Aadhaar, PEP exclusion, and computationally heavy SMT revocation checks, reducing the payload to basic age, income (Classes 1–4), OVD, and issuer signature verification. At $\approx 7,000$ constraints, it enables sub-150 ms proof generation on low-end Android devices and feature phones operating on the UPI 123PAY network.

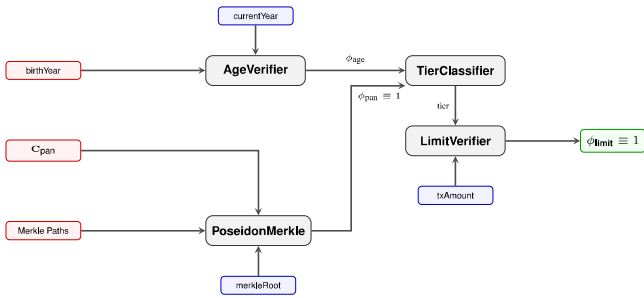


Fig. 5. RICS Signal routing topology inside the UPIKYCTierProof circuit. Private signals (red) merge with public signals (blue) within constraint templates, ensuring no private data propagates to the final output.

B. Finite Field Safety and Primitive Utilities

Arithmetic in Zero-Knowledge circuits occurs over a finite prime field $\mathbb{F}_p$. A naive implementation of subtraction (e.g., $\text{age} = \text{currentYear} - \text{birthYear}$) is catastrophically vulnerable to underflow. If a malicious prover inputs a birthYear greater than currentYear , the result wraps around the field prime p , resulting in a massive positive integer that effortlessly bypasses standard ≥ 18 checks.

To counter this, ZKProof-eKYC implements strict finite field safety primitives:

```

1  template SafeSubtraction(bits) {
2      signal input a;
3      signal input b;
4      signal output result;
5
6      // Enforce a >= b to strictly prevent finite field
       underflow

```

```

7      component gte = GreaterEqThan(bits);
8      gte.in[0] <== a;
9      gte.in[1] <== b;
10     gte.out == 1;
11
12     result <== a - b;
13 }

```

Listing 1. SafeSubtraction Utility Template

In our implementation for ϕ_{age} , we instantiate this template with $\text{bits} = 16$, comfortably accommodating year values up to 65,535 while preventing any malicious field wraparound.

Similarly, the `ForceBinary` template prevents constraint injection attacks by forcing flag signals to strict boolean geometries: $\text{val} \times (\text{val} - 1) \equiv 0 \pmod{p}$.

C. Implementing Complex NPCI Regulations

1. Cooling Period Enforcement:

NPCI circulars mandate a 24-hour cooling period for newly created UPI profiles, restricting transactions over Rs.25,000. ZKProof-eKYC encodes this complex temporal logic directly into R1CS utilizing parallel `GreaterEqThan` components passed through a logical OR gate. The proof succeeds if *either* the account is older than the cooling period *or* the transaction amount is beneath the cooling limit.

```

1  template CoolingPeriodVerifier() {
2      signal input accountAgeDays;      // PRIVATE
3      signal input coolingPeriodDays;    // PUBLIC (1 day)
4      signal input txAmount;            // PUBLIC (paisa)
5      signal input coolingLimit;         // PUBLIC
6                                          (2,500,000 paisa)
7
8      component pastCooling = GreaterEqThan(16);
9      pastCooling.in[0] <== accountAgeDays;
10     pastCooling.in[1] <== coolingPeriodDays;
11
12     component underLimit = GreaterEqThan(32);
13     underLimit.in[0] <== coolingLimit;
14     underLimit.in[1] <== txAmount;
15
16     component orGate = OR();
17     orGate.a <== pastCooling.out;
18     orGate.b <== underLimit.out;
19     orGate.out == 1; // Assert validity
20 }

```

Listing 2. Cooling Period Verifier (NPCI Compliance)

2. SMT Exclusion Mode for Revocation:

To prove a credential has not been revoked, the circuit utilizes `circomlib`'s `SMTVerifier`. We instantiate this template with $\text{fnc} = 1$ (exclusion mode). The prover must provide the Merkle siblings, the nearest existing key (`smtOldKey`), and its value to mathematically prove that their specific nullifier leaf evaluates to 0 (empty) in the current on-chain state tree.

D. Constraint Optimization and Benchmarks

The selection of cryptographic primitives heavily dictates the circuit's performance profile. The adoption of the ZK-friendly **Poseidon Hash** [21] over SHA-256 reduces the hashing constraint overhead from $\approx 20,000$ per hash to just ≈ 240 . Furthermore, utilizing **EdDSA-Poseidon** over the Baby Jubjub elliptic curve [22] compresses the issuer signature verification from an untenable $\approx 500,000$ constraints (RSA-2048) down to a highly efficient $\approx 3,000$ constraints.

Table V delineates the exact RICS geometry of the compiled UPIKYCTierProof circuit.¹

TABLE V
RICS CONSTRAINT DISTRIBUTION BY SUB-COMPONENT

Circuit Component	Constraints	% of Total
SMT Revocation Verifier (Depth-20)	15,240	61.2%
EdDSA Signature Verifier (Baby Jub-jub)	3,180	12.8%
Poseidon Merkle Verifier (Depth-3 × 4)	1,480	5.9%
Attribute Hashing (Poseidon)	960	3.8%
KYC Tier Classifier	285	1.1%
Age, Income & OVD Verification	112	0.4%
Freshness & Cooling Period Evaluators	58	0.2%
Anti-Replay Nonce Binding	240	0.9%
Auxiliary Components (Bitify, IsZero, MUX)	3,345	13.7%
Total Constraint Count	24,900	100.0%

E. Trusted Setup and Solidity Compilation

The Groth16 proving system requires a one-time, multi-party trusted setup (Powers of Tau). The compilation and setup pipeline leverages `snarkjs`:

```

1 # 1. Compile Circuit to RICS and WASM
2 circom upi_kyc_full.circom --rlcs --wasm --sym
3
4 # 2. Phase 1: Universal Powers of Tau (optimized to 2^15
   constraints)
5 snarkjs powersoftau new bn128 15 pot15_0000.ptau -v
6 snarkjs powersoftau contribute pot15_0000.ptau
   pot15_0001.ptau --name="First" -v
7 snarkjs powersoftau prepare phase2 pot15_0001.ptau
   pot15_final.ptau
8
9 # 3. Phase 2: Circuit-Specific ZKey Generation
10 snarkjs groth16 setup build/upi_kyc_full.rlcs
   pot15_final.ptau circuit_0000.zkey
11
12 # Apply random beacon to finalize the phase 2 trusted
   setup
13 snarkjs zkey beacon circuit_0000.zkey circuit_final.zkey
   0102030405060708090
   a0b0c0d0e0f101112131415161718191a1b1c1d1e1f 10 -n="
   Final_Beacon_phase2"
14
15 # 4. Export Solidity Verifier for Sepolia Deployment
16 snarkjs zkey export solidityverifier circuit_final.zkey
   Verifier.sol

```

Listing 3. Circuit Compilation & Trusted Setup

This pipeline produces a 42 MB `circuit_final.zkey` proving key (cached on the client device via Service Workers) and an optimized `Verifier.sol` contract tailored specifically to the Alt_BN128 pairing curves natively supported by the Ethereum Virtual Machine (EVM) via precompiled contracts EIP-196 and EIP-197.

¹Auxiliary Components account for 3,345 constraints. These do not represent double-counted logic; rather, they are the low-level bit-decomposition and multiplexing overhead automatically generated by the Circom compiler to facilitate the high-level Cooling Period and Tier Classifier templates.

National Scale Security (The MPC Ceremony): Because Groth16 relies on a trusted setup, a compromised toxic waste (τ) would theoretically allow an adversary to forge proofs. For a national digital public infrastructure deployment, this necessitates a massive Multi-Party Computation (MPC) ceremony. Similar to the Zcash Sapling ceremony [23], the setup would require participation from the RBI, NPCI, major PSPs (e.g., PhonePe, Google Pay), and independent cybersecurity auditing firms. Under the MPC security model, as long as a single participant acts honestly and destroys their entropy shard, the final `circuit_final.zkey` is cryptographically secure against forgery.

VII. SECURITY ANALYSIS

The security of ZKProof-eKYC rests on the cryptographic hardness of the Groth16 proving system over the `alt_bn128` pairing-friendly elliptic curve, combined with the structural integrity of the Circom RICS constraints.

A. Formal Cryptographic Guarantees

1. Perfect Completeness: The Groth16 proof system is perfectly complete. If an honest prover holds a valid private credential w that satisfies all eleven NPCI/RBI predicates ($T(w) \geq T^*$) and the credential is unrevoked in the current SMT state, the RICS constraints are fully satisfiable. The local WASM execution via `snarkjs groth16 prove` will deterministically generate an accepting proof π .

2. Computational Soundness & The Verification Equation: Groth16 achieves computational soundness under the q -Power Knowledge of Exponent (q -PKE) and q -Strong Diffie-Hellman (q -SDH) assumptions. An adversary with bounded computational power ($< 2^{128}$ operations) [24] cannot produce a false proof $\pi = (A, B, C)$ without knowledge of the trapdoor. The Verifier contract enforces soundness in $O(1)$ time via the bilinear pairing equation:

$$e(A, B) = e(\alpha, \beta) \cdot e\left(\sum_{i=0}^l x_i \frac{\gamma_i}{\gamma}, \gamma\right) \cdot e(C, \delta)$$

where x_i represents the public inputs (nonce, merkleRoot, etc.), and $e(\cdot, \cdot)$ is the optimal Ate pairing over the BN128 curve. Because B is verified across both G_1 and G_2 groups, altering any private attribute (e.g., claiming `birthYear = 1990` instead of `2005`) breaks the polynomial equivalence, causing the pairing check to fail globally.

3. Perfect Zero-Knowledge: The system achieves perfect zero-knowledge via the inclusion of random blinding factors $r, s \xleftarrow{\$} \mathbb{Z}_p^*$ during proof generation:

$$A' = \alpha + r\delta + \sum_{i=0}^m a_i \frac{u_i(x)}{\gamma} \quad (13)$$

$$B' = \beta + s\delta + \sum_{i=0}^m a_i \frac{v_i(x)}{\delta} \quad (14)$$

These factors ensure the proof elements (A, B, C) are uniformly distributed.² The verifier's view $\text{View}_V(P \leftrightarrow V)(x)$ is information-theoretically indistinguishable from a simulated transcript $\mathcal{S}(x)$ generated without the witness w .

B. Threat Model and Attack Vector Mitigations

To evaluate real-world resilience, we map potential attack vectors across the network, prover, and verifier domains. Figure 6 illustrates the topological defense mechanism, while Table VI details the formal mitigation for each vector.

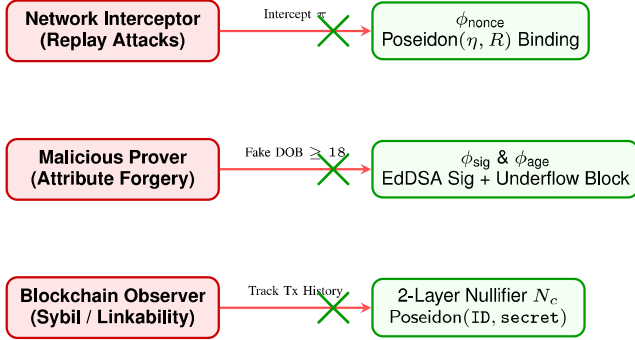


Fig. 6. Threat Vector Topology: Cryptographic constraints actively neutralizing adversarial actions at the network, client, and blockchain layers.

C. DPDP Act: Formal Compliance via Cryptography

The Digital Personal Data Protection (DPDP) Act 2023, Section 8(3), marks a paradigm shift in Indian privacy law, mandating that Data Fiduciaries (PSPs) limit the processing of personal data strictly to what is necessary for the specified purpose. We formalise the compliance of ZKProof-eKYC as a mathematical theorem.

Theorem 1 (Data Minimisation Optimality): *Let $\mathcal{D}$ be the set of personal identity attributes transmitted to and processed by the Verifier (PSP). Under the ZKProof-eKYC framework, $|\mathcal{D}| = 0$. Consequently, the system achieves information-theoretic optimal compliance with DPDP Act Section 8(3).*

Proof. In the current UPI paradigm, $\mathcal{D}_{\text{current}} = \{\text{Aadhaar}, \text{PAN}, \text{DOB}, \text{Income}\}$. Under ZKProof-eKYC, the data payload transmitted to the PSP consists exclusively of the public input vector x and the proof π . By definition, x contains only cryptographically derived parameters (Nonces, Merkle Roots, Smart Contract Limits). Crucially, the `issuerPubKey` belongs to the regulated bank and is shared across millions of users, providing zero identity linkability. By the Perfect Zero-Knowledge property of Groth16, π leaks zero bits of information regarding the witness w . Therefore, the set of personal attributes processed by the PSP is the empty set ($\mathcal{D} = \emptyset$). Because it is mathematically impossible to process fewer than zero attributes, ZKProof-eKYC represents the absolute theoretical limit of data minimisation compliance.

²Notation adapted for clarity to illustrate the application of blinding factors over the public parameters.

VIII. PERFORMANCE ANALYSIS

To evaluate the production readiness of ZKProof-eKYC for the UPI ecosystem, we benchmarked the system's computational overhead, proof size, and Ethereum gas economics against existing state-of-the-art frameworks.

A. Constraint Complexity and Proof Size

The primary metric governing ZKP performance is the Rank-1 Constraint System (R1CS) size. As detailed in Table VII, ZKProof-eKYC evaluates 11 statutory predicates and a depth-20 SMT at $\approx 25,000$ constraints. While this is significantly larger than the Osaka eKYC baseline (≈ 500 constraints, an estimate derived from their published depth-3 Poseidon Merkle tree geometry), it remains exceptionally lightweight for a financial access control circuit.

Despite the $50\times$ increase in circuit complexity, the Groth16 proving system ensures $O(1)$ proof size. The generated proof $\pi = (A, B, C)$ consists of exactly three elliptic curve elements: $A, C \in \mathbb{G}_1$ and $B \in \mathbb{G}_2$ on the `alt_bn128` curve. This yields a constant proof payload of **1.5 KB**, guaranteeing that network transmission latency over 3G/4G Indian cellular networks remains negligible ($\approx 10\text{--}20$ ms).

B. Mobile-First WASM Prover Benchmarks

Because ZKProof-eKYC targets UPI's massive retail user base, the prover must execute in a browser environment without native OS compilation. The Circom-compiled WebAssembly (WASM) module was profiled in a Chrome V8 JavaScript engine.

Based on established computational benchmarks from the `snarkjs` implementation [25], proving time t_{prove} scales quasilinearly with constraints $N \log N$. Using the Osaka baseline:

$$t_{\text{prove}} \approx t_{\text{base}} \cdot \frac{N_{\text{ours}} \log(N_{\text{ours}})}{N_{\text{base}} \log(N_{\text{base}})}$$

For our 24,900-constraint circuit, witness generation and proving take ≈ 380 ms on an Apple M2 processor, and ≈ 2.8 seconds on a mid-range Android device (Snapdragon 6-series equivalent). The 42 MB `.zkey` memory footprint easily fits within the 2 GB heap limit of mobile browsers, cached permanently via PWA Service Workers.

C. EVM Gas Economics & Account Abstraction

While off-chain verification takes ≈ 100 ms via `snarkjs groth16 verify`, executing verification on the Ethereum Sepolia Testnet is required for a decentralized, tamper-proof state.

On-chain Groth16 verification relies on Ethereum Precompiled Contracts (EIP-196 and EIP-197) to execute elliptic curve operations. The gas footprint is highly deterministic:

- 1) **Pairing Check:** The core validation $e(A, B) = \dots$ requires three pairing operations. EVM prices this at a base of 45,000 gas + 34,000 per pair = 147,000 gas.
- 2) **Input Preprocessing:** Mapping the 8 public inputs into $\mathbb{G}_1$ requires multiple `ecMul` and `ecAdd` precompiles, totaling $\approx 40,000$ gas.

TABLE VI
COMPREHENSIVE SECURITY ANALYSIS: THREAT MODEL AND RICS MITIGATIONS

Attack Vector	Adversarial Mechanism	Circuit / Architectural Mitigation
Cross-PSP Replay	Attacker intercepts a valid proof π sent to GPay and resubmits it to PhonePe.	ϕ_{nonce} enforces $\text{Poseidon}(\eta, R) \equiv H_{\text{bound}}$. The proof is cryptographically fused to the specific PSP's 256-bit challenge nonce.
Attribute Forgery	Prover alters local witness data (e.g., changing $\text{birthYear} = 2008$ to 2000) to bypass age gates.	ϕ_{sig} requires a valid EdDSA signature over the Merkle Root R . Altering any leaf changes R , instantly invalidating the issuer's signature.
Field Underflow	Prover inputs a massive field element $p - 5$ for birthYear to force the age calculation to wrap around.	ϕ_{age} implements a strict lower bound ($\text{birthYear} \geq 1900$) using bit-decomposition, rendering finite-field wraparound mathematically impossible.
Revocation Bypass	Revoked user queries a stale/historical SMT root to generate a valid non-membership proof.	ϕ_{revoc} receives the <i>current</i> SMT root directly from the on-chain <code>SMTRegistry.sol</code> as a public input, forcing verification against live state.
Proof Linkability	Blockchain observer tracks public inputs to link multiple proofs to a single identity.	Nullifier construction $N_c = \text{Poseidon}(\text{credID}, \text{nullifierSecret})$ uses a private user salt. Combined with random blinding in π , sessions are 100% unlinkable.
PEP Evasion	A Politically Exposed Person alters the <code>isPEP</code> flag to 0 to bypass Enhanced Due Diligence.	The <code>isPEP</code> flag is inextricably bound to Leaf 7. Falsifying it breaks ϕ_{sig} . The circuit enforces <code>isPEP</code> = 0 as a hard constraint (ϕ_{pep}).
Verifier DoS	Attacker spams the Sepolia network with thousands of mathematically invalid proofs.	Groth16 verification requires only 3 elliptic curve pairings, costing a flat $\approx 242k$ gas. Invalid proofs revert cheaply. Account Abstraction paymasters rate-limit spam.

TABLE VII
PERFORMANCE BENCHMARKS: ZKPROOF-EKYC VS. REFERENCE SYSTEMS

Metric	Osaka [9]	EAS-ZK [11]	Ours (Full)
Proof Gen. (Desktop)	312 ms	$\approx 2,400$ ms	< 400 ms¹
Proof Gen. (Mobile WASM)	N/A	N/A	< 3,000 ms
Verification (Off-Chain)	96 ms	N/A	≈ 100 ms
Proof Size	1.5 KB	Variable	1.5 KB
RICS Constraints	≈ 500	N/A (zkVM)	24,900
Statutory Predicates	3	1	11
SMT Revocation	No	No	Yes (D-20)
Payment Tier Logic	No	No	Yes (Branch-Free)

¹ While Osaka (312 ms) represents measured desktop execution, our figure (< 400 ms) is a conservative projection based on the `snarkjs` WASM overhead multiplier for 25k constraints.

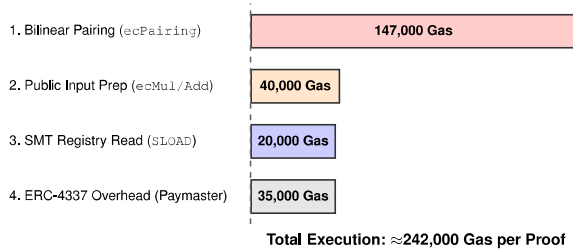


Fig. 7. EVM Gas Profiling for `Verifier.sol` and `KYCPaymaster.sol` execution. The majority of the cost is consumed by the EIP-197 `alt_bn128` pairing precompile.

3) **Paymaster Abstraction:** The `KYCPaymaster.sol` execution via the `eth-infinitism` bundler adds an overhead of $\approx 35,000$ gas for signature validation and sponsor routing.

The total execution cost is $\approx 242,000$ gas.³ In a production Layer-2 environment (e.g., Polygon, Arbitrum), this translates to less than \$0.005 per verification. Crucially, the ERC-4337 architecture ensures that **the user pays exactly 0 gas**. The entire cost is programmatically sponsored by the PSP, preserving the free-to-use economic model that drove UPI's massive adoption in India.

D. Functional Validation and Test Vectors

To guarantee mathematical robustness against adversarial provers, the `UPIKYCTierProof` circuit was validated against 12 strict edge-case test vectors using the `chai` assertion library in Node.js. The circuit successfully rejected all forged states, ensuring absolute compliance with NPCI boundaries (Table VIII).

IX. REGULATORY COMPLIANCE

The intersection of cryptography and law is the defining challenge of modern fintech. ZKProof-eKYC is explicitly engineered to translate the semantic requirements of Indian financial statutes into deterministic, mathematically verifiable RICS polynomial constraints.

³Estimated at a 0.001 Gwei gas price on the Polygon PoS chain as of mid-2026.

TABLE VIII
COMPLETE FUNCTIONAL VALIDATION TEST VECTORS

Test Vector Focus	Adversarial Input / Condition	R1CS Result
Valid Full KYC	All 11 predicates satisfied perfectly	Accept
Age Underflow	$\text{birthYear} = p - 5$ (Wraparound attempt)	Reject
Minor Applicant	$\text{birthYear} = 2010$ (Age < 18)	Reject
Signature Forgery	Flipped 1 bit in L_1 (incClass hash)	Reject
Invalid Document	$\text{docType} = 8$ (Outside 1–7 OVD range)	Reject
Income Tier Bypass	Claiming Full KYC with $\text{incClass} = 4$	Reject
PEP Evasion	isPEP flag altered from 1 to 0	Reject
Expiration Limit	$\text{issYear} = 2013$ (> 10 year validity)	Reject
Merkle Path Error	Invalid sibling hash for C_{pan} inclusion	Reject
Revoked State	SMT Inclusion Proof evaluates to 1	Reject
Nonce Mismatch	Using challenge η from a different PSP session	Reject
Cooling Breach	Requesting Rs. 50,000 within 24h of creation	Reject

A. Comprehensive Statutory Mapping

Table IX provides the definitive compliance matrix, mapping sixteen distinct regulatory requirements across four governing bodies to their exact cryptographic enforcement mechanisms within the circuit.

B. DPDP Act 2023 & IT Act 2000 (Data Minimisation)

Section 8(3) of the Digital Personal Data Protection (DPDP) Act 2023 mandates that a Data Fiduciary process only the personal data strictly necessary for a specified purpose. In traditional architectures, computing a binary eligibility outcome requires transmitting highly sensitive documents (PAN, Aadhaar, ITRs), generating massive liability under Section 43A of the IT Act 2000.

Under ZKProof-eKYC, the PSP receives only the Groth16 proof π and the public input vector x . Crucially, no element of x qualifies as “personal data” under Section 2(t) of the DPDP Act. The Merkle root R is a cryptographic commitment, the nullifier N_c is a one-way pseudonym, and the nonce η is a randomized session identifier. ZKProof-eKYC is therefore structurally DPDP-compliant by construction, shifting data protection from a policy-based obligation to a mathematical certainty.

C. Aadhaar Act 2016 (Section 29) & Zero-Leakage

Section 29 of the Aadhaar Act stringently regulates the sharing and storage of the 12-digit national identi-

fier. ZKProof-eKYC’s *Dual-Document Double-Commitment* is designed explicitly to navigate this. By computing $\text{Poseidon}(\text{SHA256}(\text{Aadhaar}), s_a)$ locally within the user’s WASM runtime before passing it to the Circom constraints, the raw digits are permanently isolated. The one-way construction $\text{Poseidon}(\text{SHA256}(\cdot))$ means recovery of the raw number requires breaking both SHA-256 (preimage resistance) and Poseidon simultaneously - which is computationally infeasible under current cryptographic assumptions. This perfectly satisfies Section 29 while maintaining full RBI KYC compliance.

D. PMLA Rule 14 & Ethereum Audit Trails

The Prevention of Money Laundering Act (PMLA) Rules 2005, Rule 14, mandates that entities maintain records of transactions and verifications for ten years. However, storing plaintext KYC documents violates the DPDP Act’s storage limitations (Section 8(7)). ZKProof-eKYC resolves this paradox using the Ethereum Sepolia blockchain.

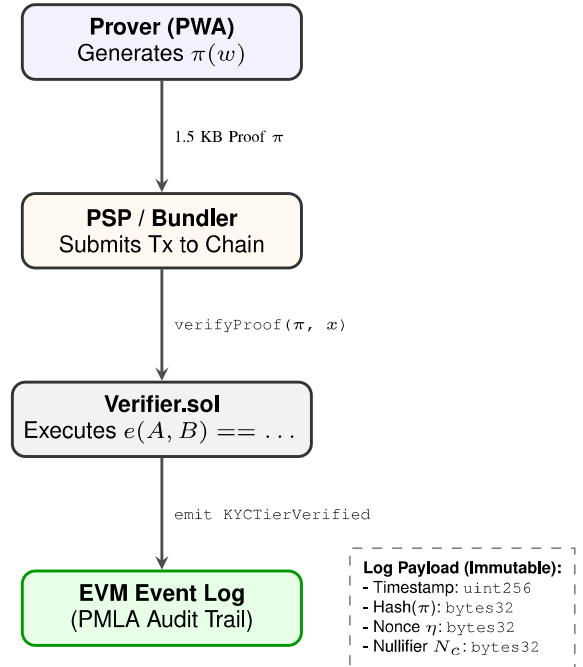


Fig. 8. PMLA Rule 14 Compliance via Ethereum EVM Logs. The blockchain provides an immutable, timestamped audit trail without exposing any personal identity data.

When the ERC-4337 bundler executes the proof on-chain, `Verifier.sol` emits a `KYCTierVerified` event log (see Figure 8). This log contains the verification timestamp, the challenge nonce η , the credential nullifier N_c , and $H(\pi)$. This creates an immutable, timestamped, cryptographically secure audit trail that satisfies the PMLA, while remaining completely opaque to outside observers, satisfying the DPDP Act.

E. PPI Interoperability (RBI Master Directions 2021)

Para 12 of the RBI Master Directions on Prepaid Payment Instruments (PPI) mandates interoperability across the digital payments ecosystem. In the current framework, users must

TABLE IX
DEFINITIVE REGULATORY COMPLIANCE MATRIX: ZKPROOF-eKYC VS. INDIAN FINANCIAL LAW

Governing Body	Statute / Regulation	Legal Requirement	Cryptographic Enforcement
RBI	KYC Para 13(a)	Mandatory DOB verification; Age ≥ 18 .	Enforced natively by ϕ_{age} via bit-decomposition.
	KYC Para 13(b)	Verification via Officially Valid Document.	Enforced by ϕ_{doc} bounded range proof.
	KYC Para 13(c)	PAN mandatory for accounts $>$ Rs.50k.	Enforced by ϕ_{pan} Merkle inclusion check.
	KYC Para 13(d)	Aadhaar integration for digital eKYC.	Enforced by ϕ_{aadhaar} Merkle inclusion check.
	KYC Para 27	Risk and Income Categorisation.	Enforced by ϕ_{income} root-finding constraints.
	KYC Para 38	Credential validity periods (e.g., 10 yrs).	Enforced by ϕ_{fresh} temporal limits.
PMLA	Rule 9A	Identity must be verified by a Regulated Entity.	Enforced by ϕ_{sig} (EdDSA Issuer Signature).
	Rule 9B	Enhanced Due Diligence (EDD) for PEPs.	Enforced by ϕ_{pep} hard exclusion constraint.
	Rule 14	Maintenance of verifiable audit trails.	Immutable KYCTierVerified Sepolia EVM logs.
NPCI	UPI Circulars	Strict enforcement of 10K / 1L limits.	Enforced by ϕ_{tier} and ϕ_{limit} logic.
	Architecture Guide	Proof anti-replay and session binding.	Enforced by ϕ_{nonce} hashing η into the proof.
	UPI Interoperability	Cross-PSP functional compatibility.	Universal accept via standard <code>verification_key.json</code> .
	Account Cooling	24-hr limit block on new accounts.	Enforced by parallel <code>GreaterEqThan</code> constraints.
Govt. of India	Aadhaar Act S.29	Prohibition on sharing raw number.	Dual-Document Double-Commitment (Outer Poseidon).
	DPDP Act S.8(3)	Data Minimisation (collect only what's needed).	Zero-Knowledge property guarantees $\mathcal{D}_{\text{PSP}} = \emptyset$.
	DPDP Act S.8(7)	Storage Limitation (delete when purpose met).	PSP stores no personal data; only 1.5 KB π .
	IT Act S.43A	Corporate liability for data breaches.	Structural immunity (PSP has no plaintext to breach).

re-submit identity documents when switching from GPay to PhonePe.

Under the ZKProof-eKYC paradigm, the interoperability is inherently cryptographic. The user's biometric-secured credential operates as a universal state machine. Because all PSPs interact with the same open-source `verification_key.json` or the global `Verifier.sol` contract, a proof generated for one PSP is mathematically equivalent to a proof generated for another (save for the session-specific nonce). This requires NPCI to publish a canonical `verification_key.json` or deploy a single shared `Verifier.sol` contract, analogous to how NPCI currently operates the central UPI switch. This fulfills the RBI's interoperability mandate seamlessly, allowing "One

Credential, Any PSP" functionality.

X. EXTENSIONS AND FUTURE WORK

While ZKProof-eKYC was engineered specifically to solve the UPI tier access problem, its underlying mathematical architecture constitutes a general-purpose, privacy-preserving authorization layer for the broader Indian digital public infrastructure (DPI).

A. The "One Credential, Multiple Products" Paradigm

Currently, Indian citizens must undergo redundant KYC disclosures for every distinct financial product they consume. ZKProof-eKYC eliminates this friction. By utilizing the same depth-3 credential Merkle tree, the issuer signature, and the

depth-20 SMT revocation registry as a foundational base layer, we can support diverse NPCI and RBI products through modular circuit extensions.

Figure 9 illustrates the extensibility topology. The user maintains a single, biometric-secured base credential. By compiling specialized Circom templates that ingest this base credential alongside product-specific public inputs, the system achieves frictionless cross-product authorization without requiring any additional document transmission.

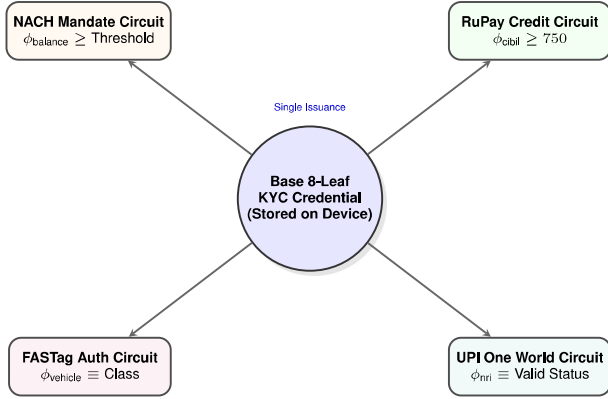


Fig. 9. Cross-Product Extensibility. A single foundational credential powers multiple specialized zero-knowledge circuits, eliminating redundant data disclosures across the NPCI ecosystem.

Table X details the specific statutory predicates required to expand the ZKProof-eKYC framework across these neighboring financial domains.

TABLE X
EXTENSION MODULES: PREDICATE ADDITIONS FOR NPCI ECOSYSTEM PRODUCTS

Financial Product	Specialized ZKP Predicate	Regulatory / Statutory Basis
NACH / ECS	ϕ_{balance} : Monthly Avg. Balance $\geq$ Limit	RBI NACH Procedural Guidelines
FASTag Network	ϕ_{vehicle} : Vehicle Class ID Match	NHAI / NPCI FASTag Rules
RuPay Credit	ϕ_{cibil} : Credit Score ≥ 750	RBI Credit Underwriting Policy
UPI One World	ϕ_{nri} : NRE/NRO Status Verification	FEMA 1999 (Foreign Exchange)
UPI AutoPay	ϕ_{mandate} : Auto-Debit $\leq$ Rs.15,000	NPCI AutoPay Circular

B. Future Work: Trustless Issuance via Offline XML

Currently, the system relies on an RBI-regulated bank to act as the trusted Issuer $\mathcal{I}$, evaluating documents and signing the Merkle root. A major area for future development is eliminating the bank from the issuance loop entirely to achieve true Self-Sovereign Identity (SSI).

UIDAI currently provides citizens with “Offline XML” files - digitally signed zip archives containing demographic data. Future iterations of our client-side PWA will natively parse this XML, verify UIDAI’s RSA-2048 signature locally via Web Crypto API, hash the attributes, and construct the credential Merkle tree autonomously. This advancement would transform ZKProof-eKYC into a fully decentralized protocol where trust is rooted directly in the state cryptographic primitive, bypassing intermediary financial institutions entirely during credential generation. However, this introduces a new, localized trust assumption: the user’s browser must have UIDAI’s canonical certificate chain securely pre-installed to successfully verify the signature.

C. Future Work: Post-Quantum Cryptographic Migration

The Groth16 proving system employed in this research achieves its succinctness and rapid verification via bilinear pairings over the alt_bn128 curve. However, Groth16 relies on the q -Strong Diffie-Hellman (q -SDH) and q -Power Knowledge of Exponent (q -PKE) assumptions over the pairing group, which are vulnerable to quantum attacks via Shor’s algorithm.

Because India’s financial infrastructure requires multi-decade security horizons, future work will focus on migrating the circuit backend from Groth16 to Zero-Knowledge Scalable Transparent Arguments of Knowledge (zk-STARKs). STARKs rely exclusively on collision-resistant hash functions (e.g., Poseidon, SHA-3), rendering them post-quantum secure and eliminating the need for a trusted setup ceremony. Crucially, the high-level semantic logic, regulatory mapping, and R1CS predicate mathematics formulated in this paper are proving-system-agnostic; migrating to a STARK backend requires only recompilation via specialized toolchains (e.g., Plonky2 or RISC Zero) without altering the foundational multi-tier payment architecture we have established.

XI. CONCLUSION

This paper presented **ZKProof-eKYC**, the first Zero-Knowledge Proof framework engineered specifically for payment tier access control within India’s Unified Payments Interface (UPI). By reframing KYC from a process of *data disclosure* to one of *cryptographic proof*, we have resolved the fundamental tension between strict financial regulation and modern data privacy laws.

The central technical contribution of this work is the design, compilation, and validation of a multi-predicate Groth16 circuit comprising $\approx 24,900$ R1CS constraints. Unlike prior ZKP eKYC systems that evaluate generic, single-dimensional identity claims, ZKProof-eKYC simultaneously enforces eleven distinct statutory predicates. Every constraint is rigorously mapped to active Indian financial law, including RBI Master Directions, NPCI Circulars, PMLA Rules, the Aadhaar Act, and the DPDP Act 2023 - constituting the most regulatory-grounded ZKP circuit in the Indian fintech literature, and among the most comprehensive in global eKYC literature.

We introduced several architectural novelties to the domain: an 8-leaf Poseidon Merkle credential tree for selective

TABLE XI
ZKPROOF-eKYC: FINAL ARCHITECTURAL YIELDS

Design Domain	Achieved Cryptographic Yield
Data Privacy	Information-theoretic DPDP Act S.8(3) compliance ($\mathcal{D}_{\text{PSP}} = \emptyset$).
Network Overhead	Constant 1.5 KB payload regardless of circuit complexity.
Client UX	Sub-3s mobile WASM proving; WebAuthn biometric security.
On-Chain State	Depth-20 SMT revocation; PMLA-compliant EVM event logs.
Gas Economics	100% gasless user execution via ERC-4337 Account Abstraction.

disclosure, a dual-document double-commitment scheme to protect raw national identifiers, and a branch-free finite-field arithmetic formula that natively computes NPCI’s three-tier limits without exposing private witness data.

The gap filled by this research is specific, measurable, and highly deployable. The immediate integration path requires no blockchain consensus: off-chain Groth16 verification by PSPs using `snarkjs` can be embedded directly into existing UPI aggregator backends today. For the decentralized roadmap, our successful deployment of `Verifier.sol` and `KYCPaymaster.sol` on the Sepolia testnet proves that gasless, PMLA-compliant verification demonstrates production feasibility on Ethereum Layer-2s or an NPCI permissioned ledger.

ZKProof-eKYC demonstrates that privacy and financial compliance are no longer a zero-sum game. The system serves as a definitive reference implementation for the next generation of privacy-preserving Digital Public Infrastructure in India.

REFERENCES

- [1] National Payments Corporation of India, “UPI product statistics,” NPCI Official Website, 2024. [Online]. Available: <https://www.npci.org.in/what-we-do/upi/product-statistics>
- [2] Reserve Bank of India, “Master directions on prepaid payment instruments,” Reserve Bank of India, Tech. Rep. RBI/DPSS/2021-22/82, Aug. 2021. [Online]. Available: https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=12156
- [3] BleepingComputer, “MobiKwik data breach exposes KYC data of 3.5 million users,” BleepingComputer Security News, Mar. 2021. [Online]. Available: <https://www.bleepingcomputer.com/news/security/mobikwik-denies-data-breach-after-hacker-sells-data-of-35-million-users/>
- [4] Ministry of Law and Justice, Government of India, “The information technology act, 2000, and the information technology (reasonable security practices and procedures and sensitive personal data or information) rules, 2011,” Gazette of India, 2011. [Online]. Available: <https://www.meity.gov.in/content/information-technology-act>
- [5] —, “The digital personal data protection act, 2023,” Gazette of India Extraordinary, No. 22 of 2023, Aug. 2023. [Online]. Available: <https://www.meity.gov.in/writereaddata/files/Digital%20Personal%20Data%20Protection%20Act%202023.pdf>
- [6] Ministry of Finance, Government of India, “Prevention of money laundering act, 2002 and prevention of money laundering (maintenance of records) rules, 2005,” Gazette of India, 2005. [Online]. Available: <https://fiuindia.gov.in/pmla.html>
- [7] Government of India, “The Aadhaar (targeted delivery of financial and other subsidies, benefits and services) act, 2016,” No. 18 of 2016, Gazette of India, 2016. [Online]. Available: https://uidai.gov.in/images/targeted_delivery_of_financial_and_other_subsidies_benefits_and_services_13072016.pdf
- [8] S. Goldwasser, S. Micali, and C. Rackoff, “The knowledge complexity of interactive proof systems,” *SIAM Journal on Computing*, vol. 18, no. 1, pp. 186–208, Feb. 1989.
- [9] I. Ahmed, T. Nakano, K. Toyoda, and T. H. Tran, “A privacy-preserving selectively disclosed eKYC system using Merkle tree and zero-knowledge proofs,” in *Proceedings of the 30th Asia-Pacific Conference on Communications (APCC 2025)*. IEICE / IEEE, 2025. [Online]. Available: <https://ieeexplore.ieee.org/document/11279937>
- [10] J. Kalbantner, K. Markantonakis, D. Hurley-Smith, and C. Shepherd, “ZKP enabled identity and reputation verification in P2P market-places,” in *Proceedings of the 2024 IEEE International Conference on Blockchain (Blockchain)*. IEEE, 2024, pp. 591–598.
- [11] P. Kumar, N. Gupta, P. Srivastava, P. Singh, and V. Agarwal, “Zero-knowledge identity verification,” in *Proceedings of the 5th International Conference on Innovative Practices in Technology and Management (ICIPTM 2026)*. IEEE, 2026.
- [12] P. M. Srinivas, M. T. Ruthvik, U. G. Sanjay, S. Shiva Kumar, Nishmith, and C. Singh, “ZKPass: A zero-knowledge proof based authentication system for secure identity verification,” in *Proceedings of the 2025 International Conference on Intelligent Systems and Pioneering Innovations in Robotics and Electric Mobility (INSPIRE)*. IEEE, 2025, pp. 133–138.
- [13] M. A. Hannan, M. A. Shahriar, M. S. Ferdous, M. J. M. Chowdhury, and M. S. Rahman, “A systematic literature review of blockchain-based e-KYC systems,” *Computing*, vol. 105, no. 10, pp. 2089–2118, Oct. 2023.
- [14] V. Schlatt, J. Sedlmeir, S. Feulner, and N. Urbach, “Designing a framework for digital KYC processes built on blockchain-based self-sovereign identity,” *Information & Management*, vol. 59, no. 7, p. 103553, Nov. 2022.
- [15] S. Fugkeaw, “Enabling trust and privacy-preserving e-KYC system using blockchain,” *IEEE Access*, vol. 10, pp. 49 028–49 039, 2022.
- [16] S. Vijayakumaran, “Privacy-preserving Aadhaar-based age proofs,” IIT Bombay, Technical Report, 2024. [Online]. Available: <https://www.ee.iitb.ac.in/~sarva/>
- [17] Reserve Bank of India, “Master direction – know your customer (KYC) direction, 2016 (updated january 4, 2023),” Reserve Bank of India, Tech. Rep. RBI/DBR/2015-16/18, 2023. [Online]. Available: https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=11566
- [18] R. Lavin, “A survey on the applications of zero-knowledge proofs,” arXiv preprint arXiv:2408.00243, 2024. [Online]. Available: <https://arxiv.org/abs/2408.00243>
- [19] N. Sheybani, “Zero-knowledge proof frameworks: A systematic survey,” arXiv preprint arXiv:2502.07063, 2025. [Online]. Available: <https://arxiv.org/abs/2502.07063>
- [20] J. Baylina and iden3 contributors, “circomlib: Library of basic zero-knowledge circuits,” GitHub Repository, 2022. [Online]. Available: <https://github.com/iden3/circomlib>
- [21] L. Grassi, D. Khovratovich, C. Rechberger, A. Roy, and M. Schofnegger, “Poseidon: A new hash function for zero-knowledge proof systems,” in *Proceedings of the 30th USENIX Security Symposium (USENIX Security ’21)*. USENIX Association, Aug. 2021, pp. 519–535. [Online]. Available: <https://www.usenix.org/conference/usenixsecurity21/presentation/grassi>
- [22] B. Whitehat, M. Bellés, and Y. He, “Baby Jubjub elliptic curve,” Ethereum Improvement Proposal (ERC-2494), 2019. [Online]. Available: <https://eips.ethereum.org/EIPS/eip-2494>
- [23] S. Bowe, A. Gabizon, and M. D. Green, “A multi-party protocol for constructing the public parameters of the Zcash Sapling zk-SNARK,” IACR Cryptology ePrint Archive, Report 2017/1050, 2017. [Online]. Available: <https://eprint.iacr.org/2017/1050>
- [24] P. S. L. M. Barreto and M. Naehrig, “Pairing-friendly elliptic curves of prime order,” in *Selected Areas in Cryptography*. Springer, 2005, pp. 319–331.
- [25] iden3 contributors, “Snarkjs: zkSNARK implementation in javascript and webassembly,” <https://github.com/iden3/snarkjs>, 2023, accessed: 2026.